

MARKET ANALYSIS

Can Los Angeles Multifamily Sales Volume Outrun the Policy and Cost Headwinds?

A 25% jump in deal flow signals a bid for repriced assets, but the capital stack still favors private cash over institutional scale.

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A source-grounded Light Tower Insight. The complete note follows.

Los Angeles added 8,500 multifamily units this year. That is not a typo. In a metro area of roughly 13 million people, the development pipeline has become a trickle. Construction costs are up, labor is tight, Measure ULA adds a transfer tax that can break a pro forma, and the city has effectively neutered SB 79, the statewide transit-oriented upzoning law. Developers have redlined the market. That much is well known.

What is less understood is what the sales data actually says. According to Marcus & Millinchap, multifamily deal flow in the LA metro improved 25 percent in the year ending March 2026, with particular growth in Class C properties selling for \$1 million to \$5 million. Private investors closed 66 percent of the volume. NAI Capital then reported that second-quarter sales volume spiked more than 25 percent, with units sold climbing 39 percent. Even properties above \$10 million grew fastest last quarter, per NAI.

The question is not whether volume is up. The question is what kind of capital is moving, at what basis, and whether the bid can hold.

The answer begins with the buyer profile. Private investors are not institutions. They are not REITs with a cost of capital dictated by public markets. They are high-net-worth individuals, family offices, and small partnerships who can underwrite to a different set of assumptions. They do not need to deploy \$500 million in a quarter. They need to find a basis that pencils with today's debt costs and today's rent growth, which Marcus & Millinchap pegs at just 1 percent. That is a narrow band.

Class C assets trading between \$1 million and \$5 million are the most forgiving entry point. They are small enough to finance with local bank debt or private credit. They are old enough that the basis has already repriced. And they are operating in a market where the alternative is building new supply at costs that do not work. The buyer is not betting on rent spikes. The buyer is betting that the replacement cost floor will hold, and that a 1 percent rent growth environment is survivable if the entry price is low enough.

Prime Residential's \$51.3 million acquisition of a 132-unit complex in Miracle Mile at \$388,000 per

unit illustrates the upper end of this dynamic. That price is roughly 29 percent above CBRE's reported average of \$300,000 per unit. It is a bet on location, quality, and the ability to operate efficiently at scale. But it is also a bet that the capital required to reposition or replace that asset is not coming anytime soon. The buyer is buying scarcity, not growth.

The capital stack tells the rest of the story. Private investors are not using high leverage. They cannot. Construction financing is expensive and selective. Acquisition debt for existing assets is available, but at tighter proceeds and higher spreads than the 2021 vintage. The buyer who closes today is bringing more equity, accepting a lower levered return, and relying on the asset's existing cash flow rather than a business plan that requires rent growth to service the debt. That is a structural shift from the pre-2022 market, where leverage amplified returns and rising rents covered mistakes.

The policy environment reinforces the trade. Measure ULA adds a 4 percent transfer tax on sales above \$5 million and 5.5 percent above \$10 million. That tax does not disappear. It gets priced into the bid. For a \$51 million transaction, the tax alone is over \$2.5 million. That is not a friction cost. It is a structural discount that sellers must absorb and buyers must underwrite. The result is a market where transaction volume can increase even as the economic logic of each deal gets thinner.

The constraint that changed is the seller's willingness to accept the new basis. Volume is up because price discovery has happened. Sellers who needed to sell have sold. The remaining inventory is held by owners who can wait, or who have already marked their assets to a defensible number. The buyers who are stepping in are not distressed vulture funds. They are operators who see a path to a 6 or 7 percent cash-on-cash return in a market where replacement cost would require an 8 percent yield to break even. That spread is the bid.

What the market should test next is whether this volume can sustain into the second half of 2026. The first-quarter drop of 50 percent from the prior quarter, per CBRE, suggests that the bid is episodic, not structural. A 25 percent year-over-year improvement sounds encouraging until you remember that 2025 was itself a low-volume year. The base is low. The question is whether the base is rising or merely bouncing.

For owners with maturing debt on Class B or C assets, the signal is mixed. There is a buyer for a \$3 million property in South LA. There may not be a buyer for a \$30 million property in the Valley at a basis that clears the existing loan. The market is bifurcating by price point, by asset quality, and by the buyer's cost of capital. Private capital is filling the gap that institutions have left, but it is filling it selectively, at small scale, and at prices that reflect the full weight of the city's policy and cost structure.

Liquidity has returned to Los Angeles multifamily. It just looks different than it did in 2021. It is smaller, more equity-heavy, and more dependent on the buyer's willingness to accept a constrained future. That is not a recovery. It is a recognition.

SOURCES

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